REGISTERED NUMBER: 13161421 (England and Wales)

STRATEGIC REPORT, REPORT OF THE DIRECTORS AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2023 FOR PHOENIX 2021 LIMITED

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for the Year Ended 30 June 2023

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PHOENIX 2021 LIMITED

COMPANY INFORMATION
for the Year Ended 30 June 2023

DIRECTORS:	B J Goodburn (Chairman) L W Danson
REGISTERED OFFICE:	DW Stadium Loire Drive Robin Park Wigan WN5 0UZ
REGISTERED NUMBER:	13161421 (England and Wales)
AUDITORS:	Fairhurst Statutory Auditor Chartered Accountants Douglas Bank House Wigan Lane Wigan Lancashire WN1 2TB
BANKERS:	Barclays Bank PLC Barclays House 5 St Annes Street Quayside Newcastle Upon Tyne NE1 2BH

STRATEGIC REPORT
for the Year Ended 30 June 2023

The directors present their strategic report for the year ended 30 June 2023.

REVIEW OF BUSINESS

The 2022/23 season was the ninety-first in Wigan Athletic Football Club's proud history. However, following a season of chaos and upheaval on and off the pitch, it was almost its last.

After the highs of the 2021/22 season, which resulted in promotion to the Championship, the 2022/23 season was beset with problems before a ball was even kicked. A season brimming with optimism became hugely challenging, testing the resilience of the Club and the Wigan community.

In June 2022 the first signs of financial difficulties became publicly evident. WAFC staff and players were due to be paid before the Jubilee Bank Holiday, and instead had to wait until after the long weekend to receive their wages.

The following month in early July, the salary deadline was missed for a second time with Chief Executive Malachy Brannigan telling journalists:

"Due to an issue beyond our control, I informed staff on Friday that their pay would not hit their accounts until Monday, despite a full day of trying to resolve the issue. I am really mindful of this club's recent past, so we felt it was important we addressed the issue publicly to avoid unnecessary speculation and alarm."

"The payments processes have been changed, so this will not occur again. The Club has offered to assist any staff who have suffered immediate hardship as a result of the delay. The financial health of the Club is strong and stable."

After being crowned League One Champions, Latics bid farewell to Gavin Massey at the end of his playing contract, and Tom Bayliss and Kell Watts returned to their parent clubs. James Mclean signed a one-year contract extension to keep him at the Club for the 2022/23 season. Anthony Scully was signed on a permanent contract from Lincoln City and was joined by Ryan Nyambe on a free transfer. Nathan Broadhead, Ashley Fletcher and Rarmani Edmonds-Green were recruited on loan for the Championship campaign.

Early season results were promising, with the team continuing its momentum from the previous season. By mid-October 2022 the team had won five matches, drawn four and lost four, standing in ninth position in the Championship table.

However, owner funding arrived late for a third time for October 2022 salaries, causing further alarm. This coincided with a downturn in form of the First Team: a run of six defeats in the next seven matches. Leam Richardson was subsequently dismissed as Manager just weeks after signing a new long-term deal.

On 29 November 2022, Kolo Touré was appointed WAFC Manager. Just 59 days later, Touré, along with his backroom staff Kevin Betsy and Ashvir Singh Johal, were dismissed after failing to win any of their nine games, leaving the team bottom of the Championship table and four points from safety.

The Club came to an Agreed Decision with the EFL in January 2023 relating to the late payment of wages on three occasions. A suspended three point deduction was imposed, along with a requirement for the Club's owner, Mr. Abdulrahman Al Jasmi, to deposit an amount equal to 125% of the monthly wage bill into a designated bank account. These funds would be used to pay salaries in the event of any further funding delays.

The January 2023 window saw the playing squad strengthened, with the additions of Steven Caulker on a free transfer together with Omar Rekik, Miguel Azeez, Christ Tiehi, Martin Kelly and Danel Sinani on loan.

On 28th January 2023, Shaun Maloney was appointed as the new Wigan Athletic Manager. Shaun brought with him the experienced Graham Barrow and Max Rogers. Shaun's appointment provided for an immediate improvement in results, with one defeat in the next six games.

Just as it seemed that the Club had turned a corner, and that things had stabilised, there was a real hammer blow in March 2023, when, once again, funding failed to arrive from Mr. Abdulrahman Al Jasmi in time to pay salaries. In accordance with the EFL's Agreed Decision, a three point deduction was immediately imposed, making the prospect of Championship survival remote.

On the 24th March 2023, the Club parted company with Chief Executive Malachy Brannigan after his two years in charge. The Club's Chairman, Mr Talal Al Hammad penned an open letter to the Club's supporters telling them that "The Club have chosen to move in a new direction and a decision on Mal's successor will be announced in due course". He also addressed the issue of funding and late payment of wages:

"I think it is important to be as honest and open with you as possible."

"As the Club statement dated 10 March stated, we had a cash flow issue which caused the delay."

"This issue has now been resolved and I can assure you that the late payment of wages will not happen again. It simply cannot happen again."

"I appreciate you have heard that message from me before and as I said from day one and as you have rightly reminded me, "actions speak louder than words."

"That is something I now must prove to you and I must rebuild trust with our players, staff and of course, you, the fans."

The Chairman Mr. Al Hammad also went on to explain that the Club would be financially responsible going forward and that "By investing in our Academy, we believe we will not only be securing the future of our Club, but also continuing to create a clear pathway for our talented young players to make it through to the first team."

"We are confident that this approach will be a key factor in ensuring the long-term success of our Club." This had been the overarching objective of the plans submitted by Mr. Abdulrahman Al Jasmi's ownership group, to the EFL as part of its bid to take control of the Club from the administrators. The plans quickly changed as a policy ensued of recruiting experienced players in an attempt to gain promotion from League One to the Championship creating huge financial stress once promotion was achieved.

Following the departure of Malachy Brannigan, Tom Markham was appointed 'acting' Chief Executive. Chairman Al Hammad visited the UK the following week and held a meeting with supporter groups to provide them with assurances that Al Jasmi's ownership group would continue to fund the Club's losses.

Relegation to League One was finally confirmed on 29th April 2023 after a 1-1 draw away against Reading.

Despite previous promises, ownership funding failed to arrive again to pay wages in early May 2023. The players took to the field in the final game of the 2022/23 season against Rotherham, with many of them not having being paid the previous week.

The future of Wigan Athletic Football Club was now hanging in the balance. In just over two years, the Club had been rescued from administration, with a very low cost base, presenting a real opportunity to make strides to being self-sustainable, to yet once again fighting for its existence.

On the 19 May 2023, the EFL imposed an additional three point deduction on the Championship points tally, resulting in a final league tally of thirty nine points. ten points from safety. Of more concern for the Club, its supporters and the community was the further four point sanction the EFL imposed to take effect from the start of the following 2023/24 season in League One. The EFL also ruled that in the event Mr Al Jasmi's ownership group failed to deposit the wages bond under the March 2023 Agreed Decision the sanction would increase to an eight point deduction.

Chairman Al Hammad again sought to assure fans that despite this setback, the future was now secure. A statement published on the Club's website explained that "...an eight-figure sum is currently being processed and is due to land in the Club account imminently. This funding will also ensure financial stability for June and the 2023/24 season."

By the 26 May 2023, the wage bond had still not been deposited into the reserve account, and the EFL triggered the further four point deduction. The Latics would now start the 2023/24 season in League One on minus eight points.

There was clearly no sign of any further funding arriving from Mr Al Jasmi's ownership group. Initial advice from insolvency practitioners indicated that given the severity of the amounts owed to creditors, particularly HMRC for PAYE, and the large future commitments on player contracts, administration would probably not be feasible. There was now a real possibility that the EFL may be unable to include the Club in the League One fixture release, only a few weeks away.

The Club's aging squad and its low underlying transfer value, would not provide enough liquidity to fund the losses in the short term until a buyer could be found. The sale of young players, which had ultimately saved the Club during 2020/21 administration, would not come to the rescue of the Club on this occasion. In short, the Company would have ceased to trade, and any liquid assets would have been sold to satisfy creditors. Without funding from Mr Al Jasmi's ownership group, or a change of owner with considerable resources, Wigan Athletic would have been no more. A proud club with 90 years of history, FA Cup winners and Premier League members all within the previous 10 years, would have been consigned to the history books with a devasting impact on the local Wigan community.
Directors Tom Markham and Oliver Gottmann subsequently resigned, issuing a statement via Twitter on 4 June 2023, stating that their position was untenable because Mr Al Jasmi's ownership group's funds had not arrived and they had no visibility on when they would arrive. This left Chairman Talal Al Hammad as the only remaining director and board member of the Club.

On 12 June 2023, following several weeks of discussions, and after closely following developments, HMRC filed a winding-up petition of the Club. The petition would be heard in the High Court on 26 July 2023.

With the backdrop of the impending HMRC and EFL deadlines the Club's Senior Management Team were running the Club on a day-to-day basis under considerable pressure and increased media speculation over the ownership and the future of the Club.

It had now emerged that the Bahraini ownership group was looking to sell Wigan Athletic, with Sarbot Johal, muted as a potential buyer, despite failing to gain previous EFL approval to buy an EFL club.

Concerned about the Club's precarious position, on 9th June 2023, Mike Danson was granted permission to commence due diligence on the Club with a view to purchasing Phoenix 2021 Ltd and clearing its liabilities.

After a swift period of due diligence, and after gaining approval for a change of control from the EFL, an agreement was reached by all parties to transfer ownership of Phoenix 2021 Ltd to Mike Danson, via his company Community Holdco 2023 Ltd, on 14th June 2023.

Upon completion, funds were immediately deposited by Mike, and the very same day, £3.3m was paid in PAYE and wages owed from the previous ownership period. A further significant PAYE payment for June was due a few days later and was also paid by the new ownership group.

HMRC removed the winding up petition on 15 June 2023.

There were many other liabilities that have been taken on by our ownership group that will be payable over the 2023/24 financial year. The Company incurred £2 million in costs for the termination of two Player Management Teams and Executives who left the Club since November 2022. This was due to decisions of the previous ownership group, but the vast majority of this sum is contractually due to be paid in the 2023/24 financial year and will be paid by us.

The football club still has several players signed on contracts by the previous ownership group. Many of these contracts only expire in June 2024 and beyond, thus we are taking on significant costs, and these will take at least twelve months to expire, until we can reduce the losses to more sensible levels.

Off the pitch, the previous ownership group entered into many long term supplier contracts that may hinder our ambitions to improve some areas of the Club in the short term. We have already taken steps to address some of these arrangements and we will continue to make it our priority.

At the conclusion of their contracts, in June 2023, First Team Players Joe Bennett, Steven Caulker, Jordan Cousins, Gwion Edwards, Ryan Nyambe, Tendayi Darikwa, and Jamie Jones departed Wigan Athletic. Jamie McGrath and Jack Whatmough were granted permission to find new clubs. Graham Shinnie also moved on, before the financial year end. Since the year end, Max Power left the club, along with Curtis Tilt, and Will Keane was sold to Preston.

Further sanctions imposed by the EFL following wrongdoings of the previous Ownership Group also include an embargo on our paying transfer fees for players until the Summer of 2024. This EFL sanction has significantly reduced the pool of players available to the club over the last two transfer windows.

One of the first jobs within days of our acquiring control of the Club was to agree new contracts for Charlie Hughes and Thelo Aasgaard who committed their long-term future to the Club. Along with fellow academy graduates Sam Tickle, Scott Smith, Baba Adeeko, Chris Sze, Josh Stones, Harry McHugh and Luke Brennan they have all proved incredibly valuable members of our First Team Squad in League One.

In August 2023, we were delighted to announce that Gregor Rioch was appointed Sporting Director. Although a wide-ranging role, Gregor's main focus will be to ensure a pathway for academy players to the first team, and to oversee player recruitment.

This focus on developing young players as assets is a key strategic priority for the Club. Last season, we had the second oldest squad in the Championship. This season, our starting line-up is usually amongst the youngest three teams across the whole of the EFL.

The support of our FansFund members, and the newly proposed Future Fund will continue to be invaluable in developing our young academy players. All its subscribers should take pride in the contribution they have made towards the development of all our academy players, many of whom are now an integral part of the first team squad.

As I write this report, the First Team finds itself mid-table in League One. This season was always going to be tough, with the aim of retaining our League One status following the eight point deduction and the transfer embargo, whilst trying to reduce costs where possible. However, there have been several impressive and promising performances on the pitch, with highlights being the away victories against Derby County and Bolton Wanderers, and the FA Cup run, culminating in a very special and memorable night hosting Manchester United in front of a sell-out crowd.

We aim to operate a sustainable cost structure, looking to recruit, promote and develop young players, and ultimately trade these assets if offers meet our valuations, enabling the players to progress their careers.
We recognise that we are only the custodians of Wigan Athletic. Our ambition is to ensure that it grows and flourishes, so that in many years time, we can eventually pass it onto the next owner and generation of Latics fans, in a much stronger position both on and off the pitch.

I hope that all supporters and staff can see that any decision made, will be made with the Club's best intentions at its core with a view to ensuring the long-term stability and growth of the Club.

The Directors and Senior Management Team consider that the financial results for the year to 30 June 2023 are disappointing. The significant operating losses were broadly in line with those budgeted, and assurances as to the ability to fund these losses had been given to the EFL by the owner. The loss was increased above budget, due to the unforeseen £2 million in termination costs for player management staff and executives.

Operating losses would have been £17.5 million, save for the write back, of £4.1 million in owner loans, which has been credited to the profit and loss account. £17.5 million would have been the largest annual loss in any filed annual accounts in Wigan Athletic's history.

A financial loss of £13.4 million was recorded for the year.

Income
Turnover for the year was £15.9 million compared to £8.3 million the previous year. This is significantly up on last year due to competing in the Championship v League One. £4.8 million of this came from the Premier League solidarity, with £3.7 million from EFL distributions. Matchday and season ticket sales were £2.6 million, compared to £2.2 million the previous year. £1.6 million was generated from commercial and sponsorship activities, which was £0.5 million higher than a year earlier. The remaining turnover was derived mainly from retail, stadium hire fees, match streaming sales and academy grants.

Administrative Expenses
Total administrative expenditure was £28.7 million compared to £18.0 million the previous year. Administrative expenses would have been £32.8 million without the write back of £4.1 million in owner loans. Salary costs for staff and players increased from £13.0 million last year to £23.2 million this year. This represented 81% of the administrative expenses and was 146% of turnover. Clearly the salary costs were unacceptably high and will be reduced in 2023/24 due to relegation to League One and more prudent management of this area of the business. The remaining expenses relate to the operation of the Football Club, as well as the facilities at the DW Stadium, Christopher Park and Stadium Way Academy sites.

The Directors and Senior Management Team are committed to reducing costs to reasonable levels to ensure that losses remain within the parameters of the EFL financial regulations, and the requirements set by the ownership group.

Player Trading and Investment
During the year the Company generated a profit from the sale of players of £0.4 million, compared to £2.8 million a year earlier. The vast majority of this £0.4 million was due to the activation of various contingent income clauses from players previously sold by the Club. While player trading at times may be unpopular, it is an integral part of the business model that underpins the stability and growth of the Club, and this is a cornerstone of our strategy to build for the future, and to enable investment in fresh new talent.

For reference, Phoenix 2021 Limited retains all the contingent income rights for players sold prior to its period of owning the Club.

Loss for the Period
The Company incurred losses of £13.4 million in the 2022/23 financial year. The Directors and Senior Management Team will seek to reduce this figure going forward, but will be limited by commitments due to player and commercial contracts that will take time to expire.

Future Outlook
The Directors and Senior Management Team aspire to utilise the resources at its disposal at any point in time to achieve the highest possible league position and success in cup competitions for the First Team, whilst at the same time employing prudent financial management to ensure a stable future. The Academy has been a key element of our identity and to our on-field performance and therefore investment into the Academy operations is a crucial element of our strategy.

As part of the long-term player-trading strategy, the transition of Academy players to the First Team will help reduce expenditure on player transfers and create organic growth within our player-trading model, with the intention of increasing the strength and depth of the squad over time. We will invest in player recruitment resources, to ensure that we can attract and retain the best football talent available, within an agreed budget.

KEY PERFORMANCE INDICATORS

Key performance indicators are used by the Directors and Senior Management Team to measure and evaluate the Company's performance and to monitor its various activities. The principal key performance indicators employed by the Company are:-

	2023 £m	2022 £m
Turnover	15.9	8.3
Staff costs	(23.2)	(13.0)
Operating loss	(13.7)	(10.5)
Profit on sales of players registrations	0.4	2.8
Net loss before taxation	(13.4)	(7.7)
Shareholders' funds	(5.2)	0.2
	2023 Numbers	**2022 Numbers**
Average league attendance	12,210	10,343
Final League position	24th	1st

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is responsible for continually assessing the risks applicable to the business, with the key risk always being the uncertainty of achieving football success on the field and the consequential significant impact on revenue from central distributions, sponsorship and ticketing.

The Company seeks to reduce and de-risk this uncertainty by:

- Utilising modern player recruitment techniques to attract the best players within our resources;
- Continued investment into the Club's Academy to assist the progression of young talented players to the First Team; and
- Utilising up-to-date analysis and performance measurement tools to assist coaching staff to achieve the best results possible.

Other risks, including financial constraints, commercial and health and safety issues are managed via regular internal management meetings, the use of professional advisors and information and advice received from the Football Association and The EFL. The company works to ensure that every match held at the DW Stadium fully meets all the health and safety criteria for the operation of football grounds.

Financial risk management

The Company is exposed to financial risk through its ability to successfully manage its financial assets and liabilities with the key financial indicator being cash flow: the ability to control a positive cash balance and generate proceeds greater than obligations arising from liabilities as they fall due. The other components of the Company's financial risk are interest rate risk and currency risk.

The Company addresses cash flow risk by carefully managing its working capital inflows and outflows and ensuring, via regular updating of its forecasts, that the necessary facilities are available to finance the working capital position from funding from its ultimate parent company, Community Holdco 2023 Limited.

The Company does not consider that the size of its interest rate exposure warrants the hedging of potential interest rate charges. The Company is exposed to occasional foreign currency exchange risks through its player transactions but does not hedge against this risk because of the infrequency/size of the transactions.

ON BEHALF OF THE BOARD:

B J Goodburn (Chairman) - Director

13 March 2024

REPORT OF THE DIRECTORS
for the Year Ended 30 June 2023

The directors present their report with the financial statements of the company for the year ended 30 June 2023.

PRINCIPAL ACTIVITY
The principal activity of the company in the year under review was that of a professional football club.

DIVIDENDS
No dividends will be distributed for the year ended 30 June 2023.

DIRECTORS
The directors who have held office during the period from 1 July 2022 to the date of this report are as follows:

B J Goodburn (Chairman) - appointed 14 June 2023
M Brannigan - resigned 22 March 2023
O Gottmann - resigned 4 June 2023
T Markham - resigned 5 May 2023
T Mubarak Al Hammad - resigned 14 June 2023

L W Danson was appointed as a director after 30 June 2023 but prior to the date of this report.

GOING CONCERN
The company is dependent on financial support from its ultimate controlling party Mr M Danson, who has ultimate control by way of his shareholding in Community Holdco 2023 Limited, the parent company of Phoenix 2021 Limited.

Mr M Danson has confirmed he will support the company financially for a period of at least 12 months from the date of these accounts.

On this basis, together with recent trading results and forecasts, the directors consider it appropriate to prepare the financial statements on a going concern basis (see note 2 of the financial statements).

COMPANY'S POLICY ON EMPLOYEES
The company is committed to ensuring that it complies with all relevant legislation, in connection with unlawful or unfair discrimination of any kind in its business.

It is the company's policy to provide opportunities for disabled persons to have a meaningful employment in the business and to make its facilities available to disabled supporters as far as possible, within the constraints of a concern for the health and safety of all its staff and customers.

Regular meetings are held involving directors and management to convey information to employees regarding company performance and other factors affecting the business.

STATEMENT OF DIRECTORS' RESPONSIBILITIES
The directors are responsible for preparing the Strategic Report, the Report of the Directors and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

STATEMENT OF DIRECTORS' RESPONSIBILITIES - continued

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

STATEMENT AS TO DISCLOSURE OF INFORMATION TO AUDITORS

So far as the directors are aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the company's auditors are unaware, and each director has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors are aware of that information.

ON BEHALF OF THE BOARD:

B J Goodburn (Chairman) - Director

13 March 2024

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF PHOENIX 2021 LIMITED

Opinion

We have audited the financial statements of Phoenix 2021 Limited (the 'company') for the year ended 30 June 2023 which comprise the Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Statement of Cash Flows, Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2023 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty relating to going concern

We draw your attention to note 2 in the financial statements which indicates that the company is reliant on the support of its ultimate controlling party, Mr M Danson and any change to this support may cast significant doubt on the entity's ability to continue as a going concern. These conditions indicate that a material uncertainty exists relating to going concern. Our opinion is not modified in respect of this matter.

Other information

The directors are responsible for the other information. The other information comprises the information in the Strategic Report and the Report of the Directors, but does not include the financial statements and our Report of the Auditors thereon.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Report of the Directors for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Report of the Directors have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Report of the Directors.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:
- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors
As explained more fully in the Statement of Directors' Responsibilities set out on pages eight and nine, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a Report of the Auditors that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

- we identified the laws and regulations applicable to the company through discussions with directors and other management, focusing on those that had a direct effect on the financial statements or that had a fundamental effect on it's operations. Key laws and regulations that we identified included the UK Companies Act, tax legislation, employment legislation, Health and Safety and hygiene regulations. Additionally the company is subject to the EFL regulations, specifically FFP regulations.

- we enquired of the directors and reviewed correspondence with HMRC for evidence of non-compliance with laws and regulations. We also reviewed controls the directors have in place to ensure compliance.

We assessed the susceptibility of the company's financial statements to material misstatement, including obtaining an understanding of how fraud might occur, by:

- making enquiries of management as to where they considered there was susceptibility to fraud, their knowledge of actual, suspected and alleged fraud; and

- considering the internal controls in place to mitigate risks of fraud and non-compliance with laws and regulations.

- performed analytical procedures to identify any unusual or unexpected relationships;

- tested journal entries to identify unusual transactions;

- assessed whether judgements and assumptions made in determining the accounting estimates were indicative of potential bias.

- we reviewed financial statements disclosures and tested to supporting documentation to assess compliance with relevant laws and regulations discussed above;

- we enquired of the directors about actual and potential litigation and claims.

Due to inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, as with any audit, there remained a higher risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. We are not responsible for preventing fraud or non-compliance with laws and regulations and cannot be expected to detect all fraud and non-compliance with laws and regulations.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our Report of the Auditors.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF PHOENIX 2021 LIMITED

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in a Report of the Auditors and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

John B S Fairhurst (Senior Statutory Auditor)
for and on behalf of Fairhurst
Statutory Auditor
Chartered Accountants
Douglas Bank House
Wigan Lane
Wigan
Lancashire
WN1 2TB

13 March 2024

STATEMENT OF COMPREHENSIVE INCOME
for the Year Ended 30 June 2023

	Notes	2023 £	2022 £
TURNOVER	3	15,865,467	8,307,734
Cost of sales		929,979	766,602
GROSS PROFIT		14,935,488	7,541,132
Administrative expenses		28,685,359	18,052,292
		(13,749.871)	(10,511,160)
Profit on sale of intangible fixed assets	5	380,069	2,849,598
LOSS BEFORE TAXATION	6	(13,369,802)	(7,661,562)
Tax on loss	7	-	-
LOSS FOR THE FINANCIAL YEAR		(13,369,802)	(7,661,562)
OTHER COMPREHENSIVE INCOME		-	-
TOTAL COMPREHENSIVE LOSS FOR THE YEAR		(13,369,802)	(7,661,562)

The notes form part of these financial statements

STATEMENT OF FINANCIAL POSITION
30 June 2023

	Notes	2023 £	£	2022 £	£
FIXED ASSETS					
Intangible assets	8		739,852		1,298,434
Tangible assets	9		2,223,148		1,963,651
Investments	10		1		-
			2,963,001		3,262,085
CURRENT ASSETS					
Stocks	11	173,055		231,403	
Debtors	12	1,601,021		2,255,099	
Cash at bank and in hand		337,961		263,064	
		2,112,037		2,749,566	
CREDITORS					
Amounts falling due within one year	13	10,235,138		5,737,212	
NET CURRENT LIABILITIES			(8,123,101)		(2,987,646)
TOTAL ASSETS LESS CURRENT LIABILITIES			(5,160,100)		274,439
CREDITORS					
Amounts falling due after more than one year	14		-		85,236
NET (LIABILITIES)/ASSETS			(5,160,100)		189,203
CAPITAL AND RESERVES					
Called up share capital	16		16,493,459		8,472,960
Retained earnings	17		(21,653,559)		(8,283,757)
SHAREHOLDERS' FUNDS			(5,160,100)		189,203

The financial statements were approved by the Board of Directors and authorised for issue on 13 March 2024 and were signed on its behalf by:

B J Goodburn (Chairman) - Director

The notes form part of these financial statements

STATEMENT OF CHANGES IN EQUITY
for the Year Ended 30 June 2023

	Called up share capital £	Retained earnings £	Total equity £
Balance at 1 July 2021	3,729,143	(622,195)	3,106,948
Changes in equity			
Issue of share capital	4,743,817	-	4,743,817
Total comprehensive loss	-	(7,661,562)	(7,661,562)
Balance at 30 June 2022	8,472,960	(8,283,757)	189,203
Changes in equity			
Issue of share capital	8,020,499	-	8,020,499
Total comprehensive loss	-	(13,369,802)	(13,369,802)
Balance at 30 June 2023	16,493,459	(21,653,559)	(5,160,100)

The notes form part of these financial statements

STATEMENT OF CASH FLOWS
for the Year Ended 30 June 2023

	Notes	2023 £	2022 £
Cash flows from operating activities			
Cash generated from operations	1	(17,712,806)	(6,847,946)
Net cash from operating activities		(17,712,806)	(6,847,946)
Cash flows from investing activities			
Purchase of intangible fixed assets		(297,500)	(1,232,750)
Purchase of tangible fixed assets		(387,877)	(285,336)
Sale of intangible fixed assets		380,069	2,849,598
Net cash from investing activities		(305,308)	1,331,512
Cash flows from financing activities			
New loans in year		9,868,250	-
Amounts received from group		204,262	-
Share issue		8,020,499	4,743,817
Net cash from financing activities		18,093,011	4,743,817
Increase/(decrease) in cash and cash equivalents		74,897	(772,617)
Cash and cash equivalents at beginning of year	2	263,064	1,035,681
Cash and cash equivalents at end of year	2	337,961	263,064

The notes form part of these financial statements

NOTES TO THE STATEMENT OF CASH FLOWS
for the Year Ended 30 June 2023

1. RECONCILIATION OF LOSS BEFORE TAXATION TO CASH GENERATED FROM OPERATIONS

	2023	2022
	£	£
Loss before taxation	(13,369,802)	(7,661,562)
Depreciation charges	778,767	674,966
Profit on disposal of fixed assets	(380,069)	(2,849,598)
Impairment of player registration fees	205,172	-
Shareholder loan write-off	(4,130,000)	-
	(16,895,932)	(9,836,194)
Decrease/(increase) in stocks	58,348	(159,588)
Decrease/(increase) in trade and other debtors	449,816	(839,591)
(Decrease)/increase in trade and other creditors	(1,325,038)	3,987,427
Cash generated from operations	(17,712,806)	(6,847,946)

2. CASH AND CASH EQUIVALENTS

The amounts disclosed on the Statement of Cash Flows in respect of cash and cash equivalents are in respect of these Statement of Financial Position amounts:

Year ended 30 June 2023

	30/6/23	1/7/22
	£	£
Cash and cash equivalents	337,961	263,064

Year ended 30 June 2022

	30/6/22	1/7/21
	£	£
Cash and cash equivalents	263,064	1,035,681

3. ANALYSIS OF CHANGES IN NET FUNDS/(DEBT)

	At 1/7/22	Cash flow	At 30/6/23
	£	£	£
Net cash			
Cash at bank and in hand	263,064	74,897	337,961
	263,064	74,897	337,961
Debt			
Debts falling due within 1 year	-	(5,738,250)	(5,738,250)
	-	(5,738,250)	(5,738,250)
Total	263,064	(5,663,353)	(5,400,289)

The notes form part of these financial statements

NOTES TO THE FINANCIAL STATEMENTS
for the Year Ended 30 June 2023

1. STATUTORY INFORMATION

Phoenix 2021 Limited is a private company, limited by shares , registered in England and Wales. The company's registered number and registered office address can be found on the Company Information page.

2. ACCOUNTING POLICIES

Basis of preparing the financial statements
These financial statements have been prepared in accordance with Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" and the Companies Act 2006. The financial statements have been prepared under the historical cost convention.

These financial statements have been prepared on the basis that the company continues to be a going concern.

The company recorded a net loss of £13,369,802 after profit on player trading of £380,069 during the year ended 30 June 2023 and has net liabilities of £5,160,100 at that date.

The following actions have been taken by the directors to manage the working capital requirements of the company:

- Profit and Loss and cashflow forecasts have been completed for the period ending 30 June 2025, which indicate that, subject to the amount of player purchases and sales, any pre taxation losses will be capable of being financed by funding provided by the ultimate controlling party.

On this basis, the directors believe the company has adequate resources to continue in operational existence for the foreseeable future. The directors consider it is reasonable to rely on the funding from the ultimate controlling party to provide the working capital requirements for the company and it is therefore appropriate to prepare the financial statements on a going concern basis.

The financial statements include the results of the company's principal activity described in the report of the directors, which is continuing.

Judgements and sources of estimation uncertainty
Preparation of the financial statements requires management to make significant judgements and estimates. The items in the financial statements where these judgements and estimates have been made include:

Judgements
(a) Impairment of fixed assets
The carrying amount of the company's assets are reviewed annually to determine whether there is any indication of impairment, the recoverable amount of any affected asset is estimated and compared with its carrying amount.

(b) Useful economic lives
The useful economic lives of fixed assets are assessed on an annual basis based on the latest available information. Management believe that the useful economic lives being used currently are still appropriate.

Turnover
Turnover represents income receivable from the company's principal activity of operating a professional football club and is net of value added Tax. Match day revenue is recognised over the period of the football season as games are played. Sponsorship and similar commercial income are recognised over the period of the respective contract.The fixed element of broadcasting revenues and other central distributions are recognised over the duration of the football season whilst facility fees for live coverage or highlights are recognised as games are played.

Goodwill
Goodwill is recognised at initial cost and is being amortised over the estimated useful life which is deemed to be 10 years.

continued...

2. ACCOUNTING POLICIES - continued

Player registration fees, signing on fees and agent fees
Transfer fees for player registrations are capitalised as intangible fixed assets and are amortised on a straight line basis over the period of the respective player contracts.

The net book value of player registrations are assessed on an annual basis and any impairment losses arising are recognised in the financial statements in the period in which they arise. Any estimated surpluses arising are not accounted for. The profit or loss arising on the sale of a player registration is calculated after charging any unamortised registration fees and any further fees which become payable as a result of the sale.

Player signing on fees are recognised in the financial statements as salaries and wages in the period during which the payment has been made.

Agents fees are expensed to the financial statements in the accounting period in which they are incurred.

Tangible fixed assets
Depreciation is provided at the following annual rates in order to write off the cost less estimated residual value of each asset over its estimated useful life.

Long leasehold property	- over the period of the lease
Fixtures and fittings	- 10% on cost
Motor vehicles	- 20% on cost
Computer equipment	- 20% on cost

Tangible fixed assets are stated at cost less depreciation and any impairment losses.

Impairment of tangible fixed assets
At each reporting date fixed assets are reviewed to determine whether there is any indication that those assets have suffered an impairment loss. If there is an indication of possible impairment, the recoverable amount of any affected asset is estimated and compared with its carrying amount. If the recoverable amount is lower, the carrying amount of the asset is reduced to its recoverable amount and an impairment loss is recognised immediately in the profit or loss.

If an impairment loss is subsequently reversed, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but not to exceed the amount that would have been determined had no impairment loss been recognised for the asset in prior periods. A reversal of an impairment loss is recognised immediately in the profit or loss.

Stocks
Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

Financial instruments
Short term financial assets, including trade debtors and debtors arising from player transfers, are measured at transaction price less any impairment.

Short term financial liabilities, including trade creditors and creditors arising from player transfers are measured at transaction price.

Financial assets and liabilities payable after one year are initially measured at fair value and are subsequently measured at amortised cost using the interest rate method.

Taxation
Taxation for the year comprises current and deferred tax. Tax is recognised in the Statement of Comprehensive Income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

Current tax is recognised at the amount of tax payable using the tax rates and laws that have been enacted or substantively enacted by the statement of financial position date.

continued...

2. ACCOUNTING POLICIES - continued

Deferred tax
Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the statement of financial position date.

Timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements. Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the year end and that are expected to apply to the reversal of the timing difference.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Foreign currencies
Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the statement of financial position date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

Leases
Rentals paid under operating leases are charged to profit or loss on a straight line basis over the period of the lease.

Pension costs and other post-retirement benefits
The company operates a defined contribution pension scheme. Contributions payable to the company's pension scheme are charged to profit or loss in the period to which they relate.

Repairs and ground maintenance
All expenditure is written off as incurred.

3. TURNOVER

The turnover and loss before taxation are attributable to the one principal activity of the company.

An analysis of turnover by class of business is given below:

	2023	2022
	£	£
Premier League distributions	4,800,000	1,220,000
EFL central distributions	3,712,450	947,063
Sponsorship, commercial	1,613,045	1,100,010
Match/Season/Cup Tickets	2,640,254	2,232,078
Stadium hire/rental charges	893,800	657,774
Academy grants	851,060	830,325
Retail income	781,071	605,191
Other income	531,287	352,164
Cup broadcasting	32,500	69,500
Cup prize money	10,000	293,629
	15,865,467	8,307,734

continued...

4. EMPLOYEES AND DIRECTORS

	2023	2022
	£	£
Wages and salaries	20,668,090	11,677,771
Social security costs	2,556,160	1,330,930
Other pension costs	15,803	-
	23,240,053	13,008,701

The average number of employees during the year was as follows:

	2023	2022
First team players	26	26
Academy players	39	32
Coaching and medical staff	23	18
Academy coaching and medical staff	61	61
Administration and support staff	74	58
Matchday staff	63	46
	286	241

	2023	2022
	£	£
Directors' remuneration	332,917	266,288
Directors' pension contributions to money purchase schemes	15,803	-

Information regarding the highest paid director is as follows:

	2023	2022
	£	£
Emoluments etc	195,481	183,400
Pension contributions to money purchase schemes	14,584	-

In addition to the above, there were also termination payments made to Football Management staff and Directors of £2,152,102 (2022 : £nil).

5. PROFIT ON SALE OF INTANGIBLE FIXED ASSETS

	2023	2022
	£	£
Profit on sale of intangible fixed assets	380,069	2,849,598

6. LOSS BEFORE TAXATION

The loss is stated after charging:

	2023	2022
	£	£
Other operating leases	253,125	248,422
Depreciation - owned assets	128,380	87,094
Goodwill amortisation	43,086	43,086
Player and management registration fees amortisatio	607,301	544,786
Auditors' remuneration	16,000	8,000

continued...

7. TAXATION

Analysis of the tax charge
No liability to UK corporation tax arose for the year ended 30 June 2023 nor for the year ended 30 June 2022.

Reconciliation of total tax charge included in profit and loss
The tax assessed for the year is higher than the standard rate of corporation tax in the UK. The difference is explained below:

	2023	2022
	£	£
Loss before tax	(13,369,802)	(7,661,562)
Loss multiplied by the standard rate of corporation tax in the UK of 20.496% (2022 - 19%)	(2,740,275)	(1,455,697)
Effects of:		
Expenses not deductible for tax purposes	29,805	8,186
Income not taxable for tax purposes	(411)	-
Fixed asset differences	(6,000)	1,927
Movement in deferred tax not recognised	2,716,881	1,445,584
Total tax charge	-	-

A deferred tax asset has not been recognised in respect of timing differences relating to tax trading losses as there is insufficient evidence that the asset will be recovered. The amount of the asset not recognised is £5,381,685 (2022 - £2,883,292), calculated at the tax rates expected to apply at a point in the future if timing differences do then reverse. The asset could be recovered if sufficient taxable trading profits arose in the future.

8. INTANGIBLE FIXED ASSETS

	Goodwill	Player and management registration fees	Totals
	£	£	£
COST			
At 1 July 2022	430,859	1,557,750	1,988,609
Additions	-	297,500	297,500
Disposals	-	(250,000)	(250,000)
At 30 June 2023	430,859	1,605,250	2,036,109
AMORTISATION			
At 1 July 2022	53,857	636,318	690,175
Amortisation for year	43,086	607,301	650,387
Eliminated on disposal	-	(249,477)	(249,477)
Impairments	-	205,172	205,172
At 30 June 2023	96,943	1,199,314	1,296,257
NET BOOK VALUE			
At 30 June 2023	333,916	405,936	739,852
At 30 June 2022	377,002	921,432	1,298,434

continued...

9. **TANGIBLE FIXED ASSETS**

	Long leasehold property £	Fixtures and fittings £	Motor vehicles £	Computer equipment £	Totals £
COST					
At 1 July 2022	1,352,119	655,132	20,000	37,204	2,064,455
Additions	24,126	314,644	-	49,107	387,877
At 30 June 2023	1,376,245	969,776	20,000	86,311	2,452,332
DEPRECIATION					
At 1 July 2022	12,675	75,688	5,000	7,441	100,804
Charge for year	10,140	96,978	4,000	17,262	128,380
At 30 June 2023	22,815	172,666	9,000	24,703	229,184
NET BOOK VALUE					
At 30 June 2023	1,353,430	797,110	11,000	61,608	2,223,148
At 30 June 2022	1,339,444	579,444	15,000	29,763	1,963,651

10. **FIXED ASSET INVESTMENTS**

	Interest in other participating interests £
COST	
Additions	1
At 30 June 2023	1
NET BOOK VALUE	
At 30 June 2023	1

11. **STOCKS**

	2023 £	2022 £
Souvenirs and goods for resale	173,055	231,403

12. **DEBTORS: AMOUNTS FALLING DUE WITHIN ONE YEAR**

	2023 £	2022 £
Trade debtors	496,794	110,734
Debtors arising from player transfers	350,102	1,469,008
Amounts owed by group undertakings	-	204,262
Other debtors	63,188	126,665
Prepayments and accrued income	690,937	344,430
	1,601,021	2,255,099

continued...

13. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	2023	2022
	£	£
Other loans (see note 15)	5,738,250	-
Trade creditors	1,076,028	929,232
Creditors arising from player transfers	-	706,792
Social security and other taxes	829,124	221,933
VAT	14,283	193,340
Other creditors	860,213	312,546
Accruals and deferred income	1,717,240	3,373,369
	10,235,138	5,737,212

14. CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

	2023	2022
	£	£
Other creditors	-	85,236

15. LOANS

An analysis of the maturity of loans is given below:

	2023	2022
	£	£
Amounts falling due within one year or on demand:		
Shareholder loan	5,738,250	-

16. CALLED UP SHARE CAPITAL

Allotted, issued and fully paid:

Number:	Class:	Nominal value:	2023	2022
			£	£
20,000,000	Ordinary	£1	16,493,459	8,472,960

8,020,499 Ordinary shares of £1 each were allotted and fully paid for cash at par during the year.

17. RESERVES

	Retained earnings
	£
At 1 July 2022	(8,283,757)
Deficit for the year	(13,369,802)
At 30 June 2023	(21,653,559)

The retained earnings reserve includes all current and prior period retained profits and losses.

continued...

18. CONTINGENT LIABILITIES

There are contractual obligations to pay players and management staff dependent on future performance criteria which have not been provided for in these accounts. Performance related payments are recognised in the financial statements in the period in which the criteria are met. The terms of certain contracts with other football clubs in respect of players' transfers include the payment of additional amounts upon fulfilment of specific conditions in the future. Such amounts are not recognised in the financial statements until the specific conditions are fulfilled. The maximum unprovided liability amounts to £178,750.

19. RELATED PARTY DISCLOSURES

The company has taken advantage of exemption, under the terms of Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland', not to disclose related party transactions with wholly owned subsidiaries within the group.

20. ULTIMATE CONTROLLING PARTY

The company's ultimate parent company is Community Holdco 2023 Limited, a company registered in England and Wales.

The directors consider the ultimate controlling party to be Mr M Danson who controls a majority shareholding in Community Holdco 2023 Limited.

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.